



CENTUM

tangible wealth

HY2025 Results Announcement

For the Period ended 30 September 2024

November 29th, 2024

www.centum.co.ke



Agenda

1. BUSINESS REVIEW

2. FINANCIAL REVIEW

3. OUTLOOK

SECTION 01:

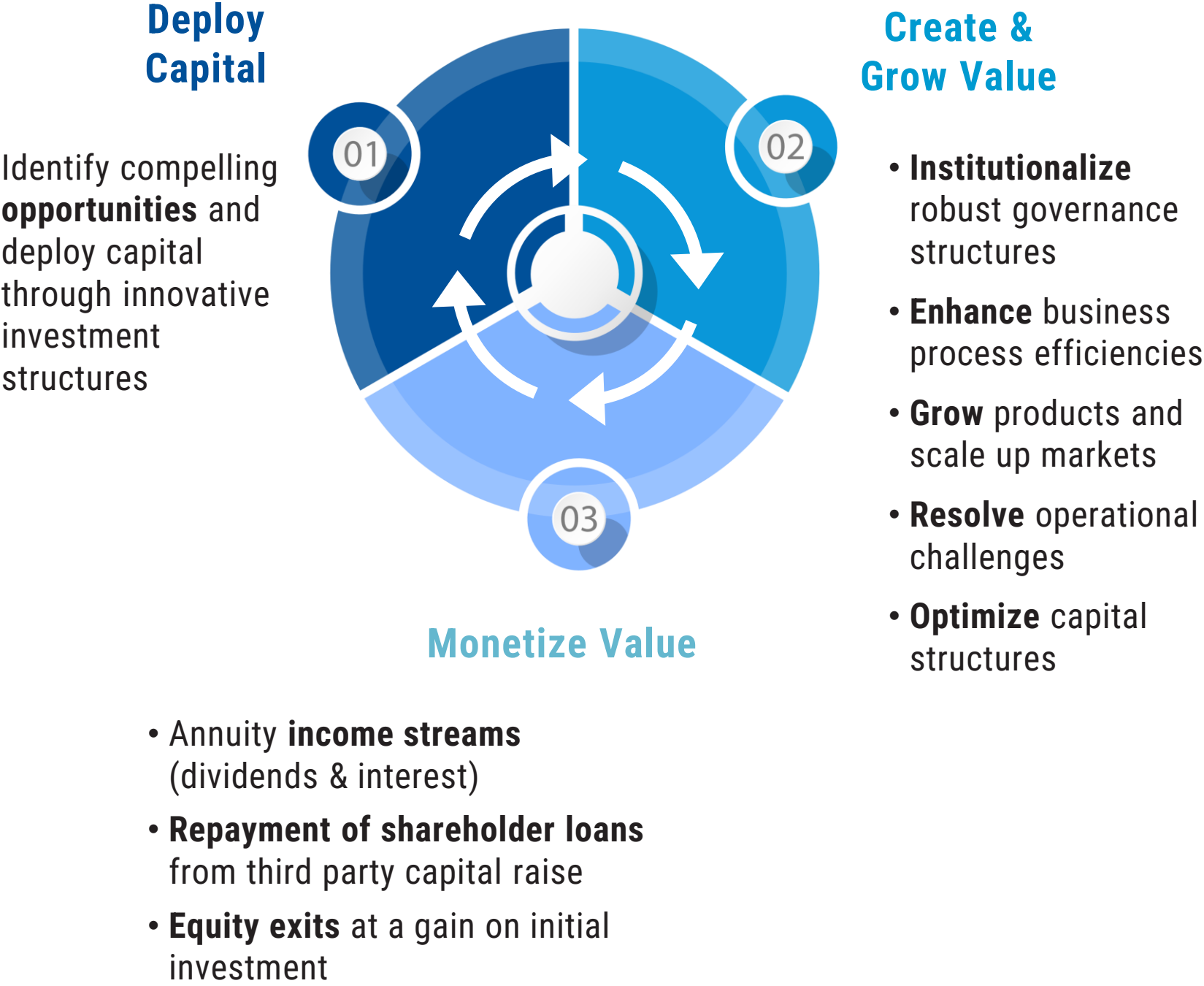
BUSINESS REVIEW

SECTION 01:

BUSINESS REVIEW

Company Overview

Our Business Model



Our Competitive Advantage

IDENTIFY

Identifying and or creating high quality investment opportunities

GROW

Deep expertise and local knowledge that is key for portfolio value creation

EXIT

Strong track record of successful exits at a premium to the asset carrying value



A **high-quality portfolio** comprising assets with potential for both significant yield and capital gains.

The current portfolio is held at an average of a **2.6X** multiple on the net cost invested.

10 exits made in the period 2009-2022 at **3.7X** money back on average.

Centum made **9 out of the 36 exits*** disclosed in the private equity space in Kenya over the past decade.

**2023 EAVCA report*

Company Snapshot | 30 Sep 2024



Market Capitalisation⁽¹⁾

KES
6.3 billion



Total Assets

KES
47 billion
10x growth since Mar 2009



Net Asset Value⁽²⁾

KES
41.2 billion
[Kes 63 NAV per share]



Cumulative dividend distribution
consistently paid out annually
since 2017

KES
5.1 billion



Long Term Gearing

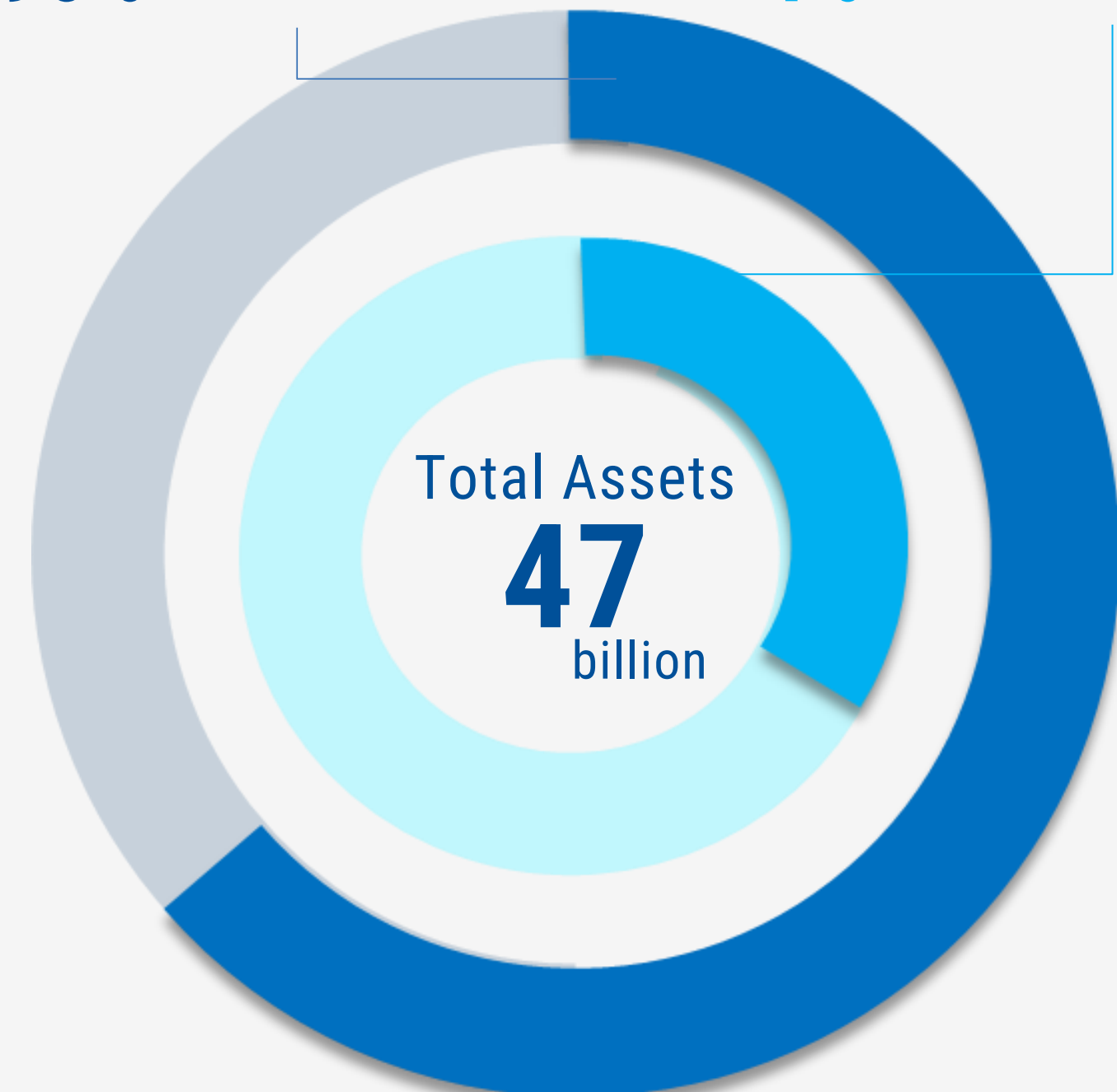
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(1)Share price as of 27 Nov 2024; 655.8 million shares outstanding.

Portfolio Allocation as of 30 Sep 2024

Growth Portfolio
96%

Marketable Securities
4%



FY 2009 – HY 2025 Snapshot.

Annualized
Return

18.0%

Dividend
Distribution

KES
5.1 billion

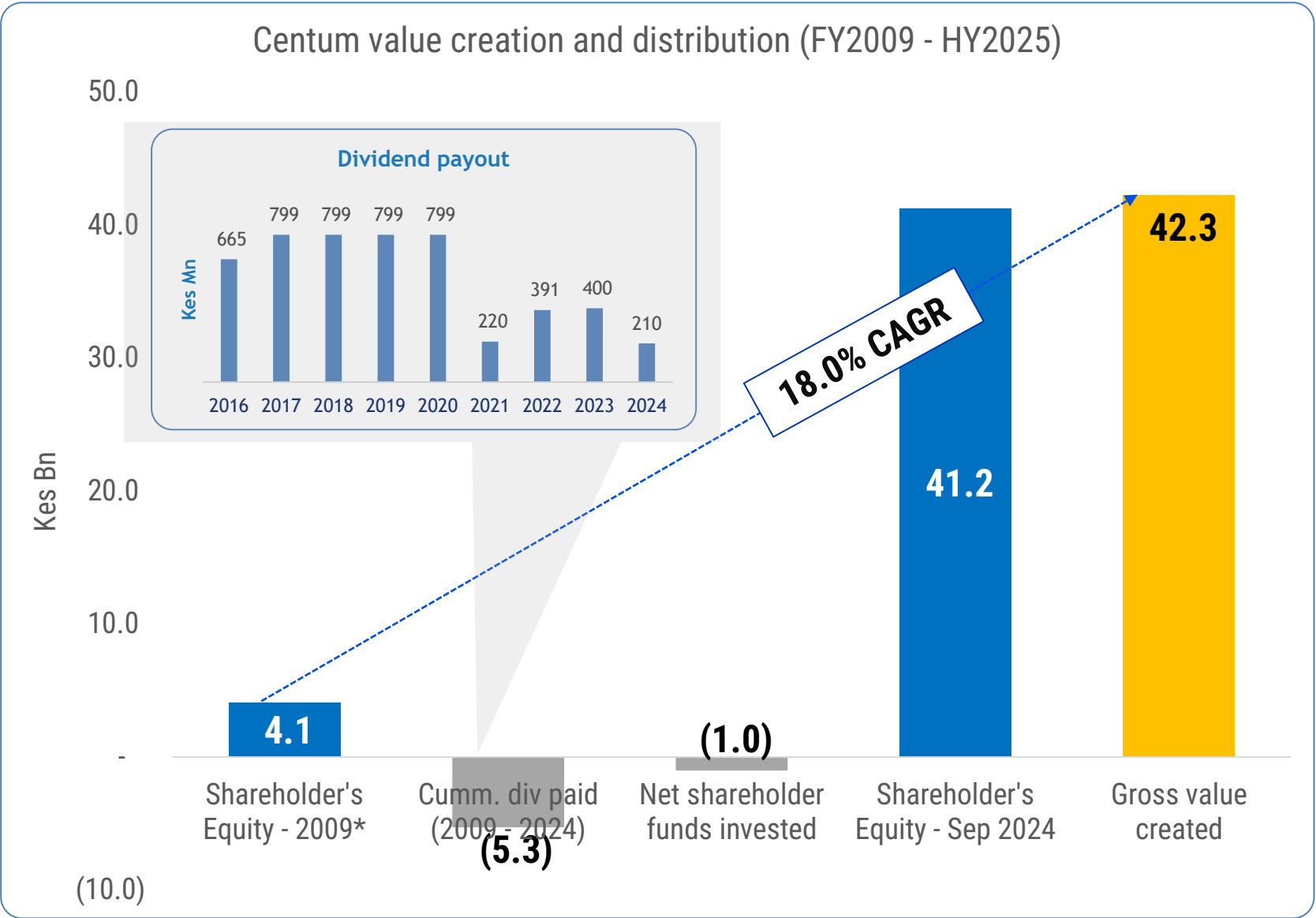
Growth in
Shareholders' Equity

10.3X



Company Snapshot

- The shareholders' equity value at March 2009 was **Kes 4.1Bn.**
- Centum has since made dividend distributions to shareholders amounting to **Kes 5.1Bn.**
- **No new equity capital** was raised between 2009 – 2024, and **Kes 97 million** worth of share buyback was completed. Thus, the total distributions made have exceeded the original shareholder funds invested by **Kes 1.0 Billion.**
- As at 30 Sep 2024, the shareholder equity value was **Kes 41.2 billion.**
- Thus, the **gross value created** for shareholders over the 2009 – 2024 period was **Kes 42.3 billion.**
- This represents an annualised return on equity of **18.0% p.a.** against the NSE 20 Index return of -3.1% in the review period.



SECTION 01:

BUSINESS REVIEW

Strategy Update

Centum 5.0 [FY2025 – FY2029] | Strategic Objectives –

Strategic Theme: Value Optimisation

	Key Pillars	Strategic Objectives
Financial	Return and Dividend Pay-Out	▪ Generate a minimum of 30% annualized return on equity. ▪ Grow Net Asset Value from Kes 41Bn to Kes 152Bn ▪ Have at least 5 solid subsidiary companies making a minimum annual EBITDA of USD 20Mn per year. ▪ Pay out 30% of annuity income as dividend distribution to shareholders
	Asset Allocation	▪ Allocate 10% - 20% of the total portfolio to Marketable Securities Portfolio. ▪ Allocate up to 30% of the growth portfolio into Quoted Private Equity.
	Cost Efficiency	▪ Achieve operating cost to income ratio below 30% of cash annuity income from FY2027.
Non-Financial	Brand	▪ Assess Centum's brand equity value and define the Company's strategic brand positioning. ▪ Institutionalize structures and practices that will enhance and sustain the desired strategic brand equity value.
	Organizational Effectiveness	▪ Adopt and maintain fit-for-purpose people, processes and technology at Centum and portfolio company level.

Strategy Overview –

FY2025 Key Focus Areas

Objectives

Progress Highlights



**Balance sheet
strengthening:
Enhancing Liquidity**

- **Kes 2.2 Billion cash was generated from operations** and investment activities in the six-months period.
- We are actively advancing **portfolio monetization** efforts which will unlock significant sustainable long-term liquidity from key portfolio companies such as Akiira, Centum Real Estate, Jafari Credit and TRIFIC SEZ.
- Following successful accomplishment of the deleveraging objective, additional liquidity generated in 2HY25 will be **deployed into marketable securities for enhanced annuity income**.



**Growing long-term
value**

- Our **active portfolio management strategy** is focussed on business transformation, value optimization and **maximization of distributable profits**.
- Portfolio was not revalued as of 30 Sep 2024 and the impact of some of the value creation initiatives is expected to reflect towards the end of FY2025 and in early FY2026.



**Enhancing
shareholder returns**

- **6% Y-o-Y growth in annuity income** was recorded in the six months to 30 Sep 2024.
- **13% reduction in operating costs** leading to **improvement in recurrent operating income**.
- **Finance costs reduced by 13%** in the 6 months period, reflecting the **65% debt reduction** to save on interest expense in a high interest rate environment.
- Successful implementation of the First Share Buyback and receipt of an approval for a Second **Share Buyback** programme **continues to provide market liquidity thereby preserving shareholder wealth**.

SECTION 01:

BUSINESS REVIEW

Portfolio Review

HY2025 Summary Carrying Value

30 September 2024



<i>Centum's Portfolio Summary – 30 Sep 2024</i>	<i>Nature of Business</i>	<i>Sector</i>	<i>Stake</i>	<i>Equity Value Kes Mn</i>	<i>Shareholder loans Kes Mn</i>	<i>Total Carrying Value Kes Mn</i>	<i>Valuation Method</i>
Two Rivers Land Co. SEZ Ltd	Development of Grade A offices and residential units within TRIFIC SEZ targeting export-oriented service enterprises for rent in USD and subsequent sale at a cap rate.	Service	80.5%	9,442	1,605	11,047	Recent transaction price
Centum Real Estate (Land Co)	Sale of development rights in master-planned mixed use	Real Estate	100%	17,976	5,248	23,224	Fair value of property
Centum Real Estate (Dev Co)	Development and sale of residential units across Kenya and Uganda	Real Estate	100%	-	1,566	1,566	Cost
Akiira Geothermal	Geothermal power development	Power	75%		1,058	1,058	Cost
Sidian Bank	Banking	Financial Services	20%	844	45	889	Recent transaction price
NAS Servair	Airline Catering	Service	15%	1,129	-	1,129	EBITDA Multiple
Isuzu East Africa	Automotive assembly	Manufacturing	17.8%	2,797	-	2,797	EBITDA Multiple
Longhorn Publishers	Books publisher	Consumer	60.2%	426	-	426	Market Price
Jafari Credit	Civil servants payroll lending	Financial Services	100%	897	258	1,156	Fair value of loan book
Nabo Capital	Fund manager	Financial Services	100%	470	14	485	Net Asset Value
Green Blade Growers	Horticulture farming for export	Agribusiness	100%	160	167	327	Net Asset Value
Tribus Group	Security and facilities management	Service	80%	210	0	210	Net Asset Value
ACE Holdings	Holdco fo SABIS Int'l school in Nairobi	Education	16.4%	429	13	442	Cost
Tier Data	ICT infrastructure and services	ICT	100%	-	26	26	Cost
Others	Centum Capital partners and SPVs	Service	100%	-	26	26	Cost
Total Growth Portfolio				34,780	10,027	44,807	
Marketable Securities	Diverse portfolio of fixed income securities	Fixed Income Securities	100%	1,276	507	1,783	Market Price
Grand Total				36,056	10,534	46,590	

Key Portfolio Updates | 30 September 2024

Total Assets - KES 47 Bn | Total NAV – 41.2 Bn | NAV Per Share – KES 63.0

GROWTH ASSETS



CASH GENERATING ASSETS



Marketable Securities Portfolio



Centum's Stake: **80.5%**

Carrying Value: **Kes 11Bn**

Market Opportunities

1. Significant demand for office space located within an SEZ.
2. A youthful population offering readily available skilled labour.
3. Robust business model has attracted significant investor interest to the SEZ.

Portfolio review – Two Rivers Land Company SEZ



Business Model

A hub for export-oriented service enterprises

- TRIFIC SEZ is domiciling export-oriented service enterprises and investment companies which are expected to significantly contribute to stimulating FDI, creating jobs and boosting exports to enhance foreign exchange earnings. The enterprises within the Special Economic Zone enjoy fiscal incentives, strategic location, access to world class infrastructure and one-stop business support services.
- TRIFIC offers Grade A office spaces (grey box, serviced or fitted) to enterprises looking to set up in the SEZ and also offers business support services which entail facilitation of SEZA licensing, recruitment and advisory on regulatory compliance.
- Once fully let, the assets developed by Two Rivers Land Company SEZ are sold to long term investors at an income yield via an I-REIT.



Progress and outlook

- TRIFIC North Tower – an existing building within the SEZ with **16,234 SQM** gross lettable area – has been **85% leased**.
- **14 SEZ license** applications for various TRIFIC SEZ enterprises have been **approved** with **6 applications** under review. This is the highest and most rapid licensing success recorded under Kenya's SEZ regime owing to TRIFIC SEZ's compelling value proposition and strong regulatory support.
- The process of establishment of a **Dollar I-REIT** is advanced and the TRIFIC North Tower is expected to be sold into the I-REIT upon completion of the ongoing capital raise.
- **USD 47.5Mn** mezzanine finance secured to develop a second office tower with **76,400 SQM**. A pipeline of demand has been developed and pre-letting commenced.

Centum's Stake: **100%**

Carrying Value: **Kes 23.2Bn**

Market Opportunities

1. High investor interest due to strategic locations presenting an opportunity for de-risked real estate investment.
2. Existing, high quality ready infrastructure.
3. Demand for master planned, investor-ready location offering an ecosystem for diverse real estate investments.

Portfolio review – Centum Real Estate | [A] Land sales

Sales Traction; Cash Collections and Profit Potential

Land sales segment	Total Value (Kes Bn)	Cost [Land+Infra] (Kes Bn)	Profit Potential	Cash collected (Kes Bn)	Receivables (Kes Bn)
Signed contracts – Completed (Bulk)	3.8	(0.6)	3.2	3.8	–
Signed contracts – Completed (Retail)	0.4	(0.0)	0.4	0.4	–
Signed contracts – Ongoing (Bulk)	3.6	(0.4)	3.2	1.6	2.0
Signed contracts – Ongoing (Retail)	0.5	(0.0)	0.5	0.1	0.4
Total	8.2	(1.0)	7.2	5.8	2.4

- **Kes 8.2Bn** worth of land sold, to which the attributable cost of land and infrastructure is **Kes 1.0Bn**. This is an **88% average profit margin**, reflecting the realisation of previously recognised capital gains.
- Retail sales (contracts for < 100 acres) have been achieved at **Kes 4.1Mn – Kes 7.9Mn per acre** on average, indicating scope for higher margins on ongoing sales.
- **Kes 5.8Bn** cash collected represents **71%** of the value of sales achieved. Surplus cash from land sales continues to be up-streamed to Centum as repayment of the shareholder loans previously advanced to acquire and develop the underlying assets.

Centum's stake: **100%**

Carrying Value: **Kes 1.6Bn**

Market Opportunities

1. Robust and growing demand for mid-market and affordable housing
2. Strategically located development rights in in master planned neighborhoods across key East African cities.
3. Market-tested housing concepts
4. Sales-led, capital light business model

Portfolio review – Centum Real Estate | [B] Residential units



Strong sales traction and cash generating capacity

Residential Units Segment	Total Value (Kes Bn)	Total Cost (Kes Bn)	Profit Potential	Cash collected (Kes Bn)	Receivables (Kes Bn)	Cost to complete (Kes Bn)	Net Cash Realizable (Kes Bn)
Completed, sold & recognized in P&L	9.3	(8.4)	1.0	9.3	-	-	-
Completed, sold but not-recognized in P&L	1.3	(1.1)	0.1	0.7	0.6	(0.2)	0.4
Completed but not sold	0.2	(0.2)	0.0	-	0.2	(0.1)	0.1
Ongoing - sold	8.4	(7.2)	1.2	4.9	3.4	(2.3)	1.1
Ongoing - not sold	2.8	(2.3)	0.5	-	2.8	(1.4)	1.4
Sub-total (Completed and Ongoing)	22.0	(19.2)	2.8	15.0	7.1	(4.0)	3.0

- **Kes 20.8bn** revenue potential of ongoing and completed projects.
- Projects under development are **98% SOLD** and **Kes 12.8Bn (66%) cash collected** from them.
- **Kes 7.1 Bn** cash is collectable from the balance in **receivables and inventory** of projects under development.
- Under **IFRS**, project revenues are only recognised in the P&L once the units are *completed, fully paid for and handed over to homeowners*. Thus, the profit potential will progressively reflect in Centum RE's net asset value as the revenue recognition criteria are met in future periods.



Ramping up

- The pipeline of projects under market validation has also registered strong sales at **78%**, with an expected potential gross margin exceeding **30%**.
- **USD 20Mn IFC funding** has been secured to progress some of the existing projects and the new pipeline.
- Validated projects are expected to commence in Q1 2025.

Centum's Stake: **75%**

Carrying Value: **Kes 1.06Bn**

Market Opportunities

1. Demand for green energy for industrial use
2. Proximity to key infrastructure
3. Steam development for sale to industrial consumers or power producers
4. Green funding which is relatively cheaper
5. Monetization of carbon credits
6. Strategic partnerships

Portfolio review – Akiira Geothermal

Business highlights and progress

- Akiira Geothermal is **strategically well-placed** to provide base load power to the grid and captive consumers to capture the significant and growing demand for green energy in Kenya and beyond.
- To drive value creation and maximise the existing market opportunity, Centum increased its stake in the project from 37.5% to **75%**.
- The project has secured an extension of the power purchase agreement (PPA) and geothermal license.

Investor engagement

- We are in talks with a number of investors to enable us to close the equity round for the development of a **140MW power plant**.

Centum's stake: **60.2%**

Carrying Value: **KES 426Mn**

Market Opportunities

1. Revision of existing titles and introduction of new titles in various markets where Longhorn has presence.
2. Strategic partnerships to leverage tech-driven product offering

Portfolio review – Longhorn Publishers



Diversified market presence



FY2024 Performance Highlights

- ✓ **42% revenue growth** due to increasing market penetration.
- ✓ **36% operating cost reduction** resulting from cost efficiency improvement initiatives.
- ✓ **176% improvement in operating profit to Kes 165Mn** from **Kes 217Mn** operating loss in prior year.



Strategic focus

- **Growth in revenues and margins:** Business is currently focussing on product and market diversification as well as enhancing cost efficiency.
- **Unlocking digital valuation:** Digital transformation to leverage technological advancements to created new revenue streams and grow existing, through eLearning, Digital Content Creation Tools, Virtual schooling etc.

Other Growth Assets



Centum's Stake | **20%**

Carrying Value | **Kes 0.9 Bn**

+ 27%
Total Assets

+ 64%
Customer Deposits

✓ **Kes 12 Bn** growth in Total Assets between Sep 2023 and Sep 2024.

✓ **Kes 17 Bn** growth in Customer Deposits between Sep 2023 and Sep 2024.



Centum's Stake | **100%**

Carrying Value | **Kes 1.2 Bn**

+ 35%
Loan Book Growth

+ 39%
Loan Book Yield

✓ **Kes 100 Mn** growth in loan book registered in 6 months on the back of accelerated monthly disbursements to close at **Kes 400Mn**.

✓ **21% return on equity** generated for the 6 months to Sep 2024.

- Enhanced profitability is projected to be achieved from an optimal mix of equity and debt funded loan book growth to tap the existing demand in the payroll lending market segment.

Cash Generating Assets



Centum's Stake | 15%

Carrying Value | Kes 1.1Bn

- 22% y-o-y revenue growth.
- 21% y-o-y EBITDA growth.
- Continues to **diversify revenue streams** from Passenger Comfort (in-train) Services and Corporate Catering.
- The business has sustained **dividend distribution** following the rebound and growth in business.

ISUZU
EAST AFRICA

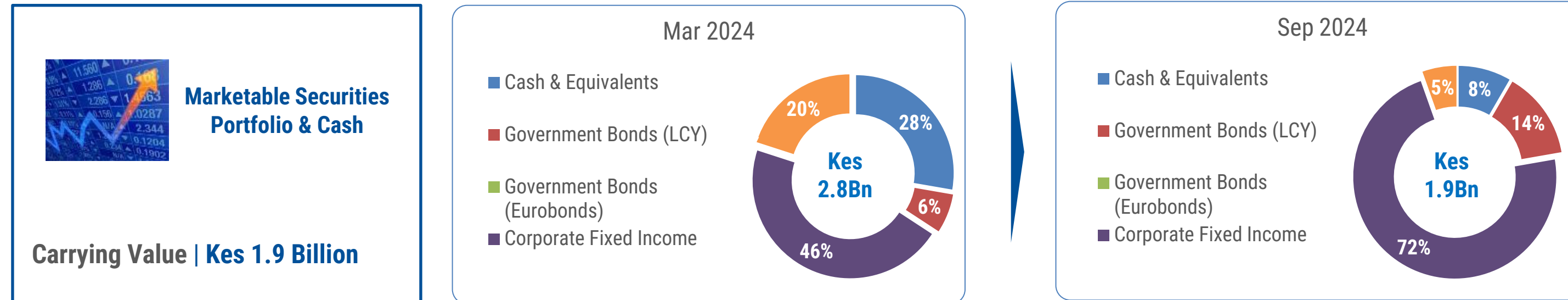
Centum's Stake | 17.8%

Carrying Value | Kes 2.8 Bn

- Isuzu remains a market leader with a **60%** market share in the commercial vehicle segment.
- The vehicle assembly and distribution business has recently won the rights to distribute **UD Trucks in Kenya**, taking over from a competitor that exited the segment. This adds to Isuzu's continued **product diversification** and **market expansion**.
- Improved interest rate and inflation environment expected to enhance sales in the short to medium term.

Cash Generating Assets

MSP Asset Allocation (Kes Mn)



- Marketable securities portfolio is held for **liquidity** of the overall investment portfolio. The portfolio has yielded an **average total return of 16.3%p.a** for the 6 months to Septembers 2024 against our minimum target of **14%p.a**.
- The portfolio is largely allocated to diverse **fixed income securities** and is actively traded to take advantage of market opportunities and minimize risk exposure to adverse trends.
- In the 6 months period to Sep 2024, we made a tactical liquidation of **c. Kes 1.2Bn** of low yielding cash and near cash securities to settle debt and mitigate the impact of the **high interest environment** experienced in the earlier part of the period.
- In the medium term, we expect to enhance Marketable Securities portfolio and **maintain** it in the **range of 10% - 20% of the total portfolio value** in line with our strategic asset allocation objective.

SECTION 02:

FINANCIAL REVIEW

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FINANCIAL REVIEW

Company Financial
Performance

Company Performance Highlights - Total Return Statement

Centum's focus as an investment holding company is to **grow and preserve shareholder value**, measured by the Company's Net Asset Value (NAV). The Total Return Statement shows the shareholder value generated in a period.



Performance Highlights:

- **Annuity income grew by 6%** to Kes 406Mn from Kes 385Mn in prior year.
- **Other investment income was Kes 509Mn**, down from **Kes 1.4Bn** due to a one-off realised gains booked in the prior year on the partial exit of Centum's stake in Two Rivers Land Co. SEZ.
- **13%** reduction in operating and finance costs recorded on the bank of effective cost containment measures and debt reduction HY2025.
- **Kes 444 Total Return** generated represents **1.1% return on opening NAV** compared to the NSE 20 return of 1.3% in the 6 months period.

Centum Total Return Statement	Sep 2024	Sep 2023	%Δ
	Kes Mn	Kes Mn	
Annuity income (dividend and interest earned)	406	385	6%
Realized Gains & other investment income	509	1,410	-64%
Total Income	915	1,795	-49%
Operating costs	(262)	(300)	13%
Finance costs	(124)	(142)	13%
Profit/ (loss) before tax	529	1,352	-61%
Tax	(99)	81	222%
Profit/ (loss) after tax	431	1,433	-70%
Other comprehensive income for the year	14	4,816	-100%
Total Return	444	6,249	-93%
Opening Net Asset Value	41,042	35,968	
Return on Equity (6 months)	1.1%	17.4%	
Return on NSE 20 Index	1.3%	-4.6%	
Outperformance	-0.2%	22.0%	

Performance Highlights:

- The Company generated **Kes 2.2Bn** from operations, comprising recurrent operations and repayment of shareholder loans and proceeds from disposals.
- The cash proceeds generated were applied towards:
 - ✓ Reinvestment - **Kes 720Mn**
 - ✓ Debt and interest payments – **Kes 1.4Bn**
 - ✓ Dividend payment and the Share buyback - **Kes 35Mn.**
- We also reduced the overdraft facility by **Kes 211 Mn.**

Company Cash Flows

Kes 2.2 Bn cash generated from operations (annuity income, shareholder loan repayments and proceeds from exits). **Kes 1.4Bn** debt and interest repayments were made in HY2025.

Reconciliation of profit/(loss) to cash flows	Sep 2024	Sep 2023
	Kes Mn	Kes Mn
Profit/ (loss) before tax	529	1,352
Tax paid	(1)	(75)
Add back/(deduct) Non-cash items & W.C movement:	(747)	(1,506)
Proceeds from shareholder loan repayments	1,351	1,070
Proceeds from exits	1,032	-
Net cash from operations	2,165	842
Use of funds:		
Net cash flows used in investing activities	(711)	(167)
Debt and interest payments	(1,380)	(400)
Dividend payments	(5)	(2)
Share buyback	(30)	(14)
Total cash utilization	(2,125)	(583)
Net cash flows for the period	39	259
Opening cash/(overdraft) balance	(576)	(400)
Closing cash/(overdraft) balance	(537)	(141)
Comprised of:		
Bank Balances	145	752
Overdraft utilized	(682)	(893)
Closing cash/(overdraft) balance	(537)	(141)

Company Statement of Financial Position

Kes Mn	Sep 2024	Mar 2024	%Δ
Growth portfolio:			
- Investment in Subsidiaries	30,426	30,786	(1%)
- Debt Investment in Subsidiaries	9,868	9,731	1%
- Unquoted Investments	4,354	4,402	(1%)
- Other assets	503	331	52%
Total growth portfolio	45,151	45,250	(0%)
Marketable securities portfolio			
- Government securities and corporate bonds	1,797	2,513	(28%)
- Cash and Equivalents	145	320	(55%)
Total marketable securities	1,942	2,832	(31%)
Total Assets	47,093	48,083	(2%)

Kes Mn	Sep 2024	Mar 2024	%Δ
Borrowings	682	1,951	(65%)
Other Liabilities	5,165	5,090	1%
Total Liabilities	5,847	7,041	(17%)
Share Capital	922	922	0.0%
Treasury Shares	(97)	(67)	44.6%
Retained Earnings	21,248	20,818	2.1%
Revaluation Reserves	19,173	19,159	0.1%
Proposed Dividend	-	210	(100%)
Shareholder Funds	41,246	41,042	0.5%
Equity and Liabilities	41,246	41,042	0.5%
NAV Per Share (KShs.)	63.0	62.4	0.9%

- ✓ The Growth Portfolio value remained unchanged as since portfolio revaluations was not done at half-year.
- ✓ Marketable securities reduction represent the portion liquidated to make debt repayments in the period..

- ✓ **65% reduction in Borrowings** reflect full **repayment of the term loan** and **reduction in the overdraft** facilities.
- ✓ Other liabilities largely comprise deferred tax liabilities on the accumulated revaluation reserves.
- ✓ Changes in shareholder funds are due to the **return generated** and **FY2024 dividends declared**, and **treasury share purchases**.

Company Debt Analysis

65% reduction in debt was achieved following **Kes 1.2Bn** repayment of outstanding bank facilities

	Mar-2019	Mar-2020	Mar-2021	Mar-2022	Mar-2023	Mar-2024	Sep-2024
	Kes Mn	Kes Mn	Kes Mn	Kes Mn	Kes Mn	Kes Mn	Kes Mn
Revolving credit facilities/ Term Loan	16,036	6,448	3,106	3,150	1,500	1,054	-
Overdraft Facility	108	1,037	1,016	1,010	748	896	682
Total	16,144	7,485	4,122	4,160	2,248	1,951	682
Less: Liquid Marketable Securities and cash	(2,105)	(7,804)	(7,075)	(6,318)	(3,686)	(1,737)	(842)
Net Debt	14,039	(319)	(2,953)	(2,158)	(1,438)	213	(159)
Liquidity / Total Debt Coverage	0.13x	1.04x	1.72x	1.52x	1.64x	0.89x	1.23x
Liquidity / Short term Debt Coverage	19.49x	7.53x	6.96x	6.26x	4.93x	1.94x	1.23x
Equity	52,600	47,439	41,822	41,326	35,968	41,042	41,246
Net Debt to Equity	26.7%	0.0%	0.0%	0.0%	0.0%	0.5%	0.0%
Total Debt to Equity	30.7%	15.8%	9.9%	10.1%	6.3%	4.8%	1.7%

- The deleveraging objective was accomplished with **full repayment** of long-term debt.
- The available liquidity in marketable securities exceeds the outstanding short-term overdraft facilities, leading to a **nil net debt position**.

SECTION 02:

FINANCIAL REVIEW

Consolidated Financial Performance

Statement of Comprehensive Income

55% improvement in consolidated profit before tax was driven by improved performance across 3 major segments.

Kes Mn	Sep 2024	Sep 2023	%Δ
(Loss) from trading businesses	(306)	(359)	15%
(Loss)/Profit from financial services	80	202	(60%)
Profit from real estate investments	(165)	519	(132%)
Loss from Two Rivers Development group	(68)	(777)	91%
Profit from Two Rivers SEZ	(288)	-	(100%)
(Loss) from investment operations	562	8	6,602%
Consolidated Profit/ (Loss) before tax	(185)	(408)	55%
Profit/(Loss) after tax	(347)	(426)	19%
Other comprehensive income/(loss), net of tax	165	633	(74%)
Total comprehensive income/(loss) for the year	(182)	206	188%
Attributable to:			
Owners of the parent	21	690	(97%)
Non-controlling interests	(203)	(484)	58%
Total profit/(loss) after tax	(182)	206	188%
Earnings Per Share-Basic	(0.22)	0.09	(345%)

Performance Highlights:

- Consolidated P&L aggregates the performance of subsidiaries proportion of the performance of associates and joint venture entities within the group.
- 55% improvement in consolidated profit before tax** was driven by improved performance across 3 major segments.
- Trading businesses comprise Longhorn which recorded improvement performance having posted a reduced loss compared to prior year.
- Financial services segment registered lower profitability since we no longer consolidate Sidian Bank following an exit that left Centum with a minority stake. The profitability in this segment is attributable to Nabo Capital and Jafari Credit.
- Real Estate segment mainly comprise the sale of residential units and development rights by Centum RE. This segment has experienced a lag in revenue recognition which is done upon completion and handover of property to purchasers.
- Two Rivers SEZ performance reflects a **timing mismatch with expenses having been booked ahead of rent revenue** which is expected to reflect in 2HY25 and FY2026 as a majority of tenants come into the TRIFIC North Tower.
- Investment operations generated **Kes 562Mn operating profit** largely reflecting interest and dividend income from the portfolio.

Performance Highlights:

- Consolidated Statement of Financial position aggregates the assets and liabilities of subsidiary companies, the net equity value of associates and the fair value of investments within the group.
- The assets and liabilities indicated are of businesses in diverse operations sectors across our various business segments.
- The increase in total assets reflects the consolidation of Akiira Geothermal, which became a subsidiary in the half-year period ended 30 Sep 2024.

Statement of Consolidated Financial Position

Kes Mn	Sep 2024	Mar 2024	%Δ
Investment portfolio	7,825	8,197	(5%)
Loans and advances	381	271	41%
Other assets	71,976	66,273	9%
Cash and cash equivalents	535	1,431	(63%)
Total Assets	80,717	76,172	6%
Borrowings	16,532	16,591	(0%)
Other liabilities	24,842	19,817	25%
Total Liabilities	41,374	36,407	14%
Total Equity	39,343	39,764	(1%)
Total Capital and Liabilities	80,717	76,172	6%

Group Debt Analysis and Centum's Contingent Exposure

Kes 6.5Bn of debt is guaranteed by Centum at *Centum Real Estate Limited* and *Two Rivers Land Co. SEZ Limited*. The outstanding exposures are adequately covered by the assets held in the respective subsidiaries.

Summary group borrowings by portfolio companies	March 2021	March 2022	March 2023	March 2024	September 2024	Guaranteed by Centum	Total Assets of Primary Borrower	Asset Cover of Guaranteed Facilities
	Ksh Mn	Ksh Mn	Ksh Mn	Ksh Mn	Ksh Mn	Ksh Mn	Ksh Mn	
Centum Investment Co. Plc	4,122	4,159	2,244	1,951	682	-	47,093	
Longhorn Publishers	1,277	1,003	1,059	1,069	1,002	-	1,764	
Centum Real Estate	5,966	5,253	4,491	3,098	2,572	2,572	44,948	17.5x
Two Rivers Development	9,644	10,210	10,444	-	-	-		
Two Rivers Land Co. SEZ Ltd	-	-	-	6,874	8,304	3,900	17,587	4.5x
Sidian Bank	4,492	10,124	7,647	-	-	-		
Total	25,501	30,749	25,885	12,991	12,560	6,472	111,392	17.2x

- ✓ Portfolio companies secure debt financing to fund their business growth strategies based on their debt carrying capacities.
- ✓ Centum has offered guarantees for some subsidiaries' debt facilities (Centum RE and Two Rivers Land Co. SEZ) to enable the businesses access external financing to pursue their respective value creation strategies.
- ✓ Centum Real Estate and Two Rivers Land Co. SEZ have sizeable asset bases and cash generating capacities to comfortably service their debts with no projected recourse to Centum.
- ✓ **Guaranteed debt has reduced considerably by 42% from Kes 11.3Bn to Kes 6.5Bn** as Centum RE has repaid their facility **from Kes 4.8Bn to Kes 2.6Bn** while Two Rivers Land Co. SEZ has repaid the facility **from USD 50Mn to USD 38.5Mn**. These have been fully funded from the respective businesses' cash flows.

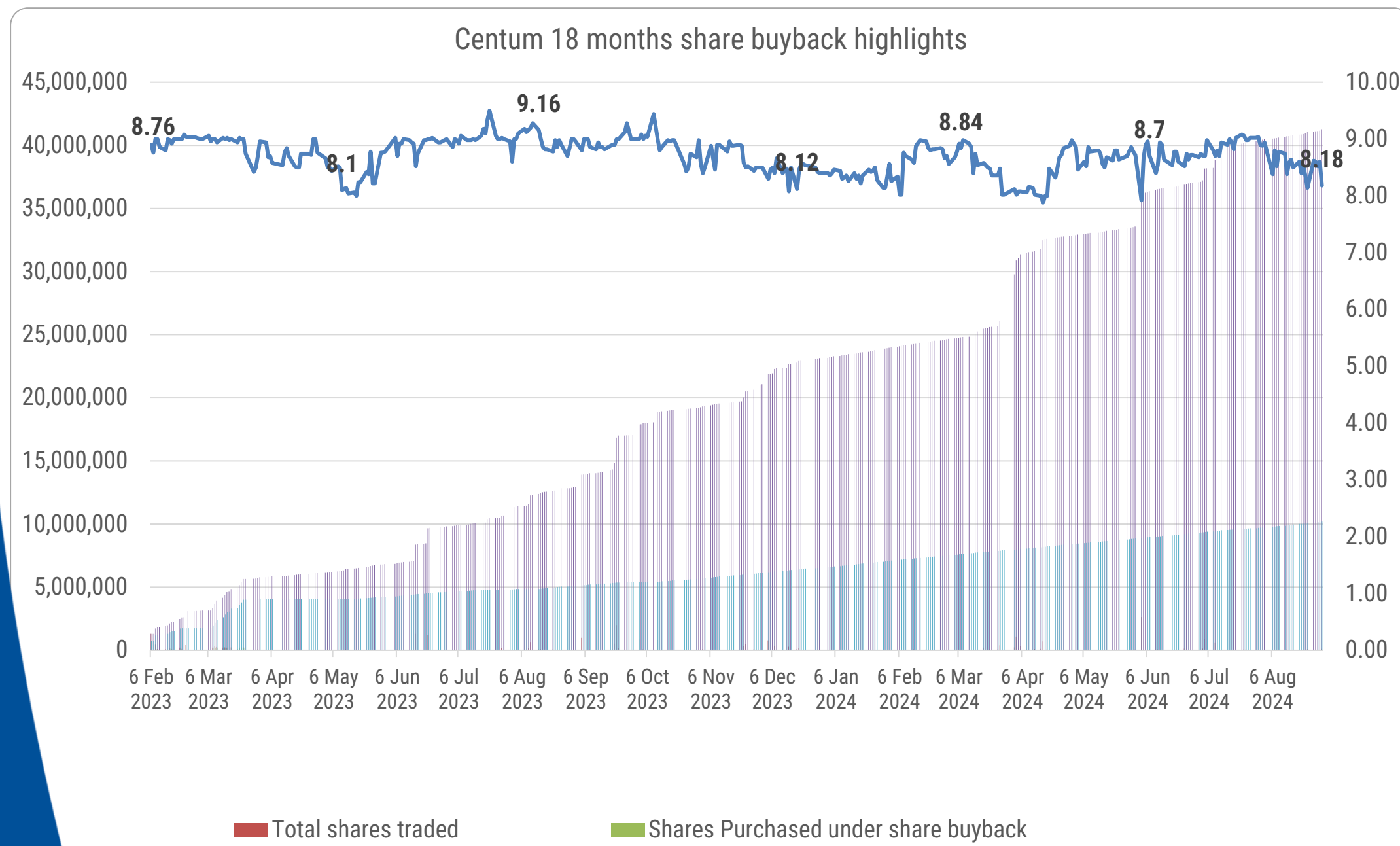
SECTION 02:

FINANCIAL REVIEW

Share Buyback Update

Share Buyback Update

The primary objective of the Share buyback program was to **provide liquidity** to the counter for **value preservation**, and this has largely been achieved.



- Centum initiated its *first buyback* program from **6th Feb 2023 to 30th Sep 2024** at an offer price of **Kes 9.03**, and **10.6Mn shares were purchased**.
- The buyback program stabilised the share price with the volume-weighted average price (VWAP) ranging between **Kes 8.0 – Kes 9.0** per share, leading to **shareholder value preservation**.
- Following approval by the Capital Market Authority, a *second buyback* program commenced on **1st Oct 2024**.
- As of 26th November 2024, **88,700 shares** had been purchased out of **4.6 million shares** traded, and the share prices have remained above the buyback price of **Kes 9.51**.

SECTION 03:

OUTLOOK

HY2025 Outlook

Objectives

Portfolio value optimization

Asset reallocation

**Enhancing Shareholder
Returns**

Actions

- Implementation of business model transformation initiatives to achieve growth in portfolio value e.g. Two Rivers Land Co. SEZ, Akiira, Centum Real Estate, Jafari Credit and other portfolio companies.
- Monetization of mature growth portfolio assets to unlock capital for redeployment into marketable securities segment for enhanced annuity income and to achieve the strategic asset allocation objectives
- Drive the growth in profitability of underlying portfolio companies through implementation of revenue growth initiatives and enhancement of operating efficiency.
- Enhance portfolio cash distributions to Centum to grow the free cash flows available for distribution to shareholders.



CENTUM

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